DARDEN RESTAURANTS INC DRI S

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by maggie1002

			2026	2027
Price:	215.00	EPS	10.64	11.23
Shares Out. (in M):	114	P/E	20	19
Market Cap (in $M):	24,527	P/FCF	22	0
Net Debt (in $M):	2,112	EBIT	1,600	1,680
TEV (in $M):	26,639	TEV/EBIT	16.6	15.9
Borrow Cost:	General Collateral			

Description

Darden confronts numerous macro and company-specific challenges that could marginalize its business performance. I am recommending Darden ("DRI" or the "Company") as a short. Some deterioration and inconsistency in the Company's operating metrics are evidence of the vulnerability across Darden's financial results. My short thesis is premised on several challenges becoming more evident during calendar year 2027. Given the near-term potential for upside from World Cup benefits yet to be reported, DRI is not a full-sized short within my portfolio of shorts but from the current price, I expect a 10-15% return within the next twelve months. If DRI were to trade back to $190 where it traded during April and May, the Company's valuation would imply 11x LTM EBITDA (down by approximately one multiple point), 15x EBIT (down by approximately 1.5 points), 18x EPS (from 20x FY26A), and a 5% EFCF yield. There are numerous reasons for DRI's valuation to decline and/or the Company to miss its guidance.

The key rationale for my short thesis can be summarized as follows:

The casual dining segment is a tough neighborhood; there are structural challenges to this segment in which Darden's business is strategically positioned

Consumer traffic is a critical ingredient to the success of any restaurant and the casual dining segment has confronted negative traffic trends that are not expected to reverse

Real disposable income is weakening, the personal savings rate is declining, and cumulative inflation is up substantially—all combining to challenge consumer discretionary spending and especially at the lower economic cohort where Darden's biggest brand Olive Garden does over-index

Dining out is discretionary and historically the restaurant industry has been challenged when prices for food away from home rise at a faster pace than prices for food at home; the cost of eating out has climbed faster than grocery prices for three consecutive years

ROIC at Darden has deteriorated and the rate of earnings growth is below both the market and its peer group but this is not discounted by the Company's valuation; there is a low likelihood that ROIC will return to historical levels and that earnings will accelerate meaningfully; DRI's valuation multiple is vulnerable to compression

Historical success at Olive Garden ("OG") confronts the law of large numbers and although LongHorn ("LH") has recently made up for some disappointment at OG, the rate of change at LH is not likely to be sustained

Favorable impact from both tax refunds and the World Cup will be difficult to anniversary next year

Some concern regarding quality of earnings

Low insider alignment compounded by insider selling pattern that makes Darden one of 139 companies at over $1B equity cap with the lowest InsiderScore of 1

Rate of change in guest traffic counts, ROIC and earnings is better across selected peers in the intensely competitive casual dining segment; Darden's earnings growth is ~35-40% below the peer average and median

Darden is a full-service, casual dining restaurant company driven by nine brands across over 2,200 company-owned units: Olive Garden "(OG"), LongHorn Steakhouse ("LH"), Yard House, Ruth's Chris Steak House, Cheddar's Scratch Kitchen, The Capital Grille, Chuy's, Seasons 52, and Eddie V's. In addition, there are four restaurants the Company managed through a JV and 87 franchised restaurants at the end of May in the U.S. Darden also has 80 international franchised restaurants operating in Canada, Latin America, the Caribbean, Asia, Europe and the Middle East.

Management has been shutting its Bahama Breeze brand pursuant to an exploration of strategic alternatives. At the end of February, there were 27 Bahama Breeze units and approximately half will convert to other Darden brands. The Company's real estate strategy is primarily through leases; less than 100 units are operated on owned sites. By number of full-service restaurant units in the U.S., Olive Garden, LongHorn and Cheddar's rank among the top thirty.

Both Chuy's and Ruth's Chris are recently-acquired public companies. The acquisition of Chuy's closed during October 2024 for ~$605M and the acquisition of Ruth's closed during June 2023 for ~$715M. Cheddar's is also an acquired brand during 2017 for ~$780M. Darden acquired those businesses at 9.4-10.4x EBITDA.

At the time of the Ruth's and Chuy's acquisitions, management communicated $105-115M pre-tax acquisition and integration-related expenses; this comprises a large component of management adjustments when presenting EBITDA and EPS. I think it is notable that during FY24-26, the Company added back $0.72 in aggregate to EPS as transaction and integration-related expenses for the acquisitions of Chuy's and Ruth's but only $0.19 for Cheddar's during FY17-18. That which is framed as "integration expenses" and "other strategic review costs" is subjective and acquisitions provide a "cookie jar" for adjustments to achieve or beat earnings expectations. It is notable that for similar-sized acquisitions, DRI took adjustments that were ~90% more as adjustments to EPS for their past two acquisitions versus Cheddar's. I view the magnitude of differential as a quality-of-earnings consideration.

Based on the EPS accretion (excluding adjustments) that management estimated from Ruth's and Chuy's, the tuck-ins were relevant to EPS growth during FY 2024-2026. Although management did not confirm their initial estimates of EPS accretion ultimately being generated, the analysis of management's estimates would imply that Ruth's contributed to EPS growth during FY 24 and FY 25 by 12.5% and 33.5%, respectively, and Chuy's contributed to EPS growth during FY 26 by 12.5%. The absence of tuck-in acquisitions that drive EPS accretion compounded by an absence of a "cookie jar" for making subjective adjustments could make achieving expectations in FY 2027 more challenging.

Chuy's has 110 units which is nine more than when the acquisition was announced two years ago. Since the Mexican category is among the fastest growing and Chuy's is the largest full-service chain in the category, the path of Chuy's could be a key ingredient to Darden's longer-term value creation framework. Chuy's might reap some near-term benefits with the closure of all On The Border Mexican Grill & Cantina company-owned units as of mid-June. On The Border was acquired out of bankruptcy about a year ago by Pappas Restaurants and was the fifth largest full-service chain in the Mexican category.

While Chuy's could warrant more attention over time, the investment community focuses the majority of its attention on both Olive Garden and LongHorn Steakhouse. As of Q4, Olive Garden comprised 43% of the Company's portfolio of owned and operated units followed by LongHorn at ~28%, and then Cheddar's at ~8%. Management organizes its business across four reported segments: Olive Garden, LongHorn Steakhouse, Fine Dining, and Other Business. During the past fiscal year, the composition of operating profits across the Company's reported segments was as follows: Olive Garden comprised ~49%, LongHorn ~25%, Fine Dining comprised ~9%, and Other ~17%.

Though some might expect a trade association to be positively-biased, the National Restaurant Association noted that the casual dining segment has confronted recent challenges as evidenced by major chain bankruptcies, declining customer traffic, escalating inflation compressing margin, and shifting consumer preference. As noted by a thirty-year casual dining operator, "The casual dining segment has been and will remain structurally challenged. There will always be casual dining occasions but the magnitude of square footage competition relative to that pie makes this segment increasingly difficult to achieve a return profile that some deemed historically sustainable." Another industry expert said, "Although demand for experiences is supportive of dining-out occasions within the casual dining segment, the relative price points influence traditional value being a preeminent factor to drive dining dollars and this is especially at the lower-end guest which is historically a major guest component at the Olive Garden. Similar food quality can be experienced within fast casual and the on-premise experience at some Darden brands is not worthy of the price premium."

At a macro level, Darden faces several challenges in the near-term

. Real disposable personal income is forecasted to grow modestly, at 1% as estimated by the National Restaurant Association trade group, in 2026, slowing form 1.7% in 2025 and 2.9% in 2024. This rate of degradation, combined with higher prices for food away from home versus food at home, has caused diners to become more selective, reducing frequency, and seeking better value often aroused from promotional strategies. Lower-income households have cut back most significantly. The tax refunds provided a benefit last reported quarter and the World Cup provided a benefit in the current quarter but those benefits will be difficult base effects next year.

. The personal savings rate recently collapsed to near an all-time low

. Consumer confidence has sharply declined, reaching a recent record low amid persistently elevated gas prices. Although gas prices have recently declined, there were numerous signs of consumer strain before the conflict with Iran which were particularly acute across the lower-to-middle class consumer who exhibited behavior and patterns that were more deliberate in their spending decisions.

Weakening consumer sentiment, especially across the lower-income segment, has intensified the pursuit of value as evidenced by deal-seeking at a historically high level. The share of consumers saying their financial situation is worse compared to a year ago is near 55% which is an all-time record (i.e., worse than during financial crisis peak and COVID). McDonalds' management noted that consumer weakness is not a new development on a recent earnings call. MCD management said, "That's not new news but I think probably it's fair to say that it's certainly not improving, and it may be getting a little bit worse."

In addition to value and pricing, a recent McKinsey analysis highlights other key factors influencing the purchasing considerations of diners. This includes health considerations, channel shifts, and a variety of generational preferences. Based on McKinsey's analysis of its Consumer Behavior Hub and ConsumerWise survey, Gen X and baby boomers expressed the sharpest pullback in dining intentions at and from a restaurant in the near-term. Among those U.S. consumers planning to reduce restaurant spending, most planned to cut back on both their frequency and how much they spend per visit. Among those who said dining out "wasn't worth the money," the majority were disappointed in both food quality and portion size, and this was especially the issue across Gen Zers. According to a recent Bain survey, 41% of U.S. consumers plan to spend less at restaurants while 40% aimed to cut back on delivery and takeout.

The casual dining segment has confronted a three-year decline in traffic. Relative to pre-COVID levels, traffic has witnessed more than a 15% traffic share loss. According to National Restaurant Association tracking data, in June 2026, casual dining operators reported their 16th time in the last 17 months of a net traffic decline. There are structural challenges to the casual dining segment in which Darden's business is strategically positioned. Although Darden was a beneficiary from insurmountable challenges to many smaller restaurants, especially independents, that struggled more from the COVID-period closures, those tailwinds from "pandemic capacity destruction" for the better capitalized DRI have subsided. Among the structural challenges to the casual dining segment compared to the fast-casual segment are the following:

Large real estate footprints come with a higher commercial rent structure and this fixed expense compounded by a broader menu with volatile food supply costs, which have mostly escalated in recent years, compel operators to either raise menu prices at the risk of guest counts or absorb the margin hit

Full-service casual dining restaurants require larger staffs such that payroll often comprises nearly 30%-35% of revenue (restaurant labor was 31.7% at DRI during the past two fiscal years; for some context, this cost component has typically ranged from 25-26% at CMG and 20-25% at MCD)

Fast-casual concepts offer high-quality food at a much better value; for example, the average check per person at Olive Garden is ~$25 versus at Noodles at ~$15

While DRI has maintained better traffic relative to the casual dining segment at large, that differential has contracted and peers like EAT, TXRH, and BJRI are doing much better. Although many market participants focus much of their attention on same-restaurant sales, traffic metrics like guest counts are a "much more critical performance indicator" according to a thirty-year operator when analyzing underlying strength or vulnerability of a restaurant. "For an operator, traffic metrics are much more relevant internally as same-unit is influenced by pricing and mix of course which obviously matters to address inflation and preserve our margin but as an operator, if our traffic is not growing then I become concerned about the future." Across six casual dining companies including Darden, "traffic" was mentioned an average of 24 times in each of their recent earnings calls. After declining for three consecutive years, Olive Garden's traffic count grew by 1% this past fiscal year but much of the rebound can be ascribed to tax refunds as well as to the base effects of the preceding year's 2.3% decline.

Darden's fiscal year and most recently reported quarter ended May 31st. Regarding customer visits, management noted it was "a little bit different this quarter, our casual brands saw an increase in visits year-over-year from all income groups, including the bottom quintile. Some of that might have been tax refunds." The average refund in 2026 increased by more than 11% from 2025. For many lower-income families and some middle income, their refund check is the largest single deposit of the year. As of May 1, the IRS had issued 7M more refunds than the prior year. The One Big Beautiful Bill Act provided several favorable changes to the tax code that included a larger standard deduction, a boost to the Child Tax Credit, and a new deduction for taxpayers 65 and older. The rate of change will not improve next year and therefore the 2026 tax refund was a positive catalyst this year to Darden's traffic and sales that will be difficult to anniversary next year.

On the spectrum of guest counts, Darden's brands appear vulnerable. Pre-COVID, Olive Garden's guest counts grew by only 0.1-0.2% during the preceding two fiscal years 2018-2019 and declined by 1.6-2.3% during 2023-2025 before the recent 1% increase. Not surprisingly, during FY 2020-2021, traffic declined by 10-12.8% before rebounding by 18.9% in 2022. Given some acute challenges across the Italian category peer group as witnessed with the bankruptcy filings of Bravo Brio, Bertucci's and Buca di Beppo and the steady decline at Romano's Macaroni Grill, some industry experts assumed Olive Garden would have recently benefitted much more but this could be masking some of the inherent struggles percolating at Olive Garden and the Italian category overall as reinforced by persistent traffic weakness also at Maggiano's and Carrabba's.

At LongHorn where guest demographics skew higher on the income spectrum, the guest count metric is not as bad as evidenced by guest count growth at 3.7% in FY2026 that followed 1.9% growth generated in FY2025 after a weak 2024 that declined by 0.4%. However, guest counts at LongHorn grew by only 0.1-0.3% during the fiscal years 2018-2019. Darden's guest count struggles are further evidenced within the Company's Fine Dining and Other segments as demonstrated by a decline of 5.2-6.9% within Fine Dining and a decline of 2.4-3.3% in their Other segment during 2024-2025. Traffic in Fine Dining declined by another 0.2% in this past fiscal year but rebounded by 0.6% in Other Business.

In regards to customer traffic, during the third quarter call, management said, "The biggest driver we see in traffic for restaurants is GDP." That comment is more or less accurate (albeit inflationary differentials of food-at-home versus away are influential) for the overall restaurant industry but not for the casual dining segment. Guest traffic to the casual dining segment has declined in recent years versus GDP growth of 2.1-2.9% since 2022. "There are selected brands that catch green shoots from time-to-time like one sees at Chili's and BJ's recently and Darden might see that from one or two of its brands from time-to-time but its portfolio is largely dictated by Olive Garden and their success is also their challenge…I just don't see that brand growing much if at all," said a thirty-year operator. The equity market has recently "voted" for casual dining over fast casual as witnessed by the diversion of those two restaurant segments.

Research at the National Restaurant Association identifies the most quantifiable cause of traffic softness in the restaurant industry is driven by the cumulative inflation gap between eating out and eating at home. During 2004, the differential was almost 300 basis points and although the gap has recently narrowed to 80 basis points for the twelve months ending May, the inflationary hurdle for discretionary spending to dine out persists. That differential grows to 110 basis points for full-service dining. The USDA's Economic Research Service forecasts food-away-from home prices will rise 3.6% in 2026 versus 2.8% for groceries. The cumulative impact since the pandemic is far larger.

As it pertains to the traffic growth at LongHorn which was acquired in 2007 as part of the Company's acquisition of RARE Hospitality, I am not dismissive of Darden's successful execution. Traffic at LH has grown in three of the past four years. Given the structural challenges to casual dining and the traffic degradation across that restaurant segment, the average traffic growth of 1.6% during the past four years at LH is notable. Darden's management intends to continue growing the LH footprint from 618 units. Over one-third of new units this fiscal year are expected to be LongHorn which generates an ~25% return. LongHorn is #2 by number of units within the steakhouse category behind Texas Roadhouse. The steakhouse category is competitive but far less than the Italian category. For some context, I described Texas Roadhouse in 2023 with a primary emphasis on my expectation for substantial beef inflation. My observations regarding beef price inflation driven by a multi-decade low cattle herd have become well-documented including a Barron's cover story during February and an ongoing focus by the Trump administration to lower beef prices. In fact, today President Trump said he aims to make it easier for ranchers to process their own meat in an effort to weaken the control exercised by the nation's four largest meatpacking companies. There is an expectation that the cost of beef has possibly peaked. The most relevant point if the cost of beef has peaked and the price will moderate is a very important point I missed in my analysis of beef inflation and its medium-term impact to Texas Roadhouse and therefore also to LongHorn. Beef prices are up by ~25% since 2023 which is 4x the price increases for poultry and pork products. The cost of beef definitely impacted steakhouse chains as reinforced by the margin degradation at LH during 2023 by nearly 100 bps. Beef comprises 28% of DRI's overall commodities basket and management has developed a "sophisticated" approach of managing its cost of goods to reduce some of the volatility from spot prices to its operations. Darden's food procurement capabilities are considered among the most sophisticated across the restaurant industry. As one example, DRI's chicken costs have been relatively flat during the last three years while the broader market for chicken has incurred roughly 5% of annual inflation. For the first half of this fiscal year (June-November), management estimated low-single digit beef inflation with 70% contracted at the end of June to assure availability and eliminate spot price risks.

The very important point I failed to effectively research previously with TXRH was how beef prices would be a substantial cost headwind but a longer duration of beef inflation could actually provide a guest traffic tailwind. The steak category has benefitted from the high price of beef at retail. Darden's CEO described that the strength of comps at LH are likely ascribed to "some trade-in from retail." Retail historically comprised roughly half of total beef sales but the magnitude of beef inflation caused a substantial decline of steak purchases at retail. Part of that retail volume gets substituted by consumption at a restaurant like LongHorn, Texas Roadhouse, or Outback. Some consumers who have a strong predilection to consume steak are uncomfortable paying up for steak at retail because they are partially concerned with not cooking an expensive retail steak effectively and consequently decide to dine-out for steak instead. Management at TXRH also validated this point as noted, "We do tend to outperform in a time of this inflationary beef environment." If beef prices were to moderate, LH's costs will improve but the substitution effect that has been acknowledged by senior management at the largest steakhouse chains as a tailwind is likely to reverse as some steak-eating consumers return to retail to cook steak at home.

The FIFA World Cup was a catalyst that benefited the quarterly traffic and sales across the restaurant industry. The World Cup tournament started on June 11th and ended July 19th and therefore Darden's last reported quarterly results did not encompass any impact. Nearly 15% of Darden's portfolio of units across five brands (OG, LH, Cheddar's, Yard House, and Chuy's) are located within the vicinity of the eleven U.S. host cities. Square evaluated millions of transactions and noted that bars and breweries generated 8% more in sales versus the baseline. Yard House will undoubtedly have benefitted in Darden's current quarter. Though concepts outside the bar and brewery segment experienced a more modest increase, Square estimated a 3.5% transaction increase. The 1994 World Cup precedent demonstrated that host cities generated a 10-15% lift in food and beverage. Some of the recent equity performance across the casual dining segment can be ascribed to the World Cup impact. In 2027 it will be challenging for Darden and its casual dining peers to anniversary the unique sales spike from the 2026 World Cup. Since the full positive impact has yet to be reported, that's a risk consideration to being short in the near-term. I believe the World Cup is among the factors driving recent momentum across selected peers across the casual dining segment. Since the end of May, DRI's peers have appreciated by ~15-75%. Darden has underperformed its peer group during that period at less than 10%.

As it pertains to the sustained period of negative traffic across the casual dining segment, the CFO said during the most recent quarterly earnings call, "We're not expecting any material change to industry performance so our baseline assumption is the industry is going to be where it's been." Management is forecasting flat-to-positive traffic this fiscal year with check in the mid-to-high 2% range as the foundation of its 2.5-3.5% same-restaurant unit guidance for the Company. During the most recent quarterly call, DRI's CFO said, "There are a lot of factors that can impact what can happen with the traffic but we expect our pricing to be closer to inflation." It's notable that last year management communicated its intent to price below inflation to protect traffic so there's some inconsistency.

Since Olive Garden has typically contributed over 50% of the Company's total restaurant-level segment operating profit, the brand garners the most attention from both the buy-side and sell-side analyst community. The first OG opened in 1982. The brand is known for its all-you-can-eat salad, soup, and breadsticks and introduced its "Never Ending Pasta Bowl" promotion in 1995 as a strategy to boost traffic during the slower back-to-school season. That campaign quickly became the chain's most successful recurring value promotion which typically begins early/mid-September and ends mid/late November. In an effort to drive traffic in the competitive mid-scale casual dining segment, Olive Garden introduced GLP-1 friendly and smaller portion menu options while expanding its "Buy One, Take One" promotion to reinforce a perception of value and to encourage repeat visits. My cousin was previously an Olive Garden GM and he often characterized the food as being "cookie cutting preparation" for a "tired brand." He proved to be inaccurate with his perception of the "tired brand" then since his comment was made over thirty years ago but the OG has likely witnessed its best days.

The public market is enamored with growth and especially with the restaurant industry. The law of large numbers for Olive Garden and competition in the Italian category mathematically suppresses percentage-based growth. Same-store sales at OG, at 2.4%, this past quarter was well-below the 4.1% consensus expectation. Olive Garden is expected to comprise over 30% of the Company's new unit openings this fiscal year. After generating same-store sales of 1.6-1.7% in 2024-2025 when guest traffic declined by 1.7-2.3%, OG generated same-store sales at 4.0% during this past fiscal year. Management envisions this metric will be closer to 2.5% during the current fiscal year. Management also expects margin at OG to be flat-to-positive. The operating margin at Olive Garden is very impressive at 22.5% and ranged from 21.0-22.5% during the past five years. There's some operating leverage with the 1% traffic growth and 4% comp this past year but the hurdle to maintain OG's margin is high. For context, if OG's margin were to decline by 50 basis points which is 4 bps higher than the five-year average, that's approximately a negative $0.21 EPS impact and would impute to a nearly $4.50 decline to DRI's equity at the current elevated PE. If OG were to miss expectations for top-line or profitability this fiscal year, I think the multiple would quickly compress. As witnessed by the Q4 miss at OG relative to same-store expectations, the market scrutinizes OG closely. I believe Olive Garden is vulnerable to disappointing the market.

Some of the issues challenging Darden are evident from ROIC that has deteriorated. The Company's ROIC peaked at ~24% during 2018 when DRI traded at an average EBITDA multiple of ~11x and ~18x EPS and now trades at ~12.5x and ~20x, respectively, despite an erosion to ROIC by approximately 800 basis points from 2018 relative to 2026. The Company's average ROIC since 2022 is 500 basis points below the 2016-2019 average. DRI's valuation is elevated relative to the rate of change across its ROIC and earnings. For some context, the two-year earnings CAGR at EAT is nearly 28% versus DRI at 8% and ROIC since 2022 at EAT has averaged 19.5% which is 450 basis points more than at DRI. The rate of change to ROIC in the past year at EAT is 3x that at DRI but EAT's earnings multiple is lower than that ascribed to Darden. Multiple compression is a potential catalyst in the absence of substantial improvement or increased visibility of degradation to several key performance indicators. Fundamental research suggests that substantial improvement is not likely. The rate of change for substantial improvement will likely be a challenge given sticky inflation pressures and tougher comps.

Darden has sought to drive a strategy of intentionally underpricing inflation to protect traffic. During the Q4 2025 earnings call, management noted "…we've been very prudent in keeping our pricing below inflation because we knew that over time, pricing matters…" Although there is some prudence to that statement, it was communicated when the rate of change to inflation was improving versus a reversal towards higher inflation. The annual inflation rate cooled to ~2.7% at the end of 2025 but accelerated to 4.2% at the end of May. However, the primary driver of inflation's re-acceleration in 2026 has been an energy shock as 60% of the monthly all-items increase during May was ascribed to spiking oil prices and as Hormuz flows resume, the rate of change to inflation declines as energy's CPI contribution rolls off its May peak. The volatility of decision-making pertaining to Iran and therefore oil prices might persist and undoubtedly higher oil prices impact many consumers with regards to their discretionary purchases including their decision to dine-out and especially at a more expensive casual or fine dining venue. Energy prices are likely to remain volatile and are up 15% from a year ago. Burlington warned this week that the persistent gas-price spike is squeezing its core customer. Although lower gas prices and lower inflation would be a positive for consumers, it's relevant to reinforce that customer traffic at DRI's brands, especially at OG, was not strong before the conflict in Iran. I believe there are more structural and competitive challenges confronting casual dining and especially OG.

Rising costs as reflected by menu prices up over 30% during the past five years has historically compelled more consumers to cook at-home and, when choosing to eat out, towards away-from-home alternatives like fast casual and QSR that are lower cost alternatives. DRI's management envisions ~3% total inflation during FY 2027 inclusive of ~3% commodities inflation. The Company is prudent with its strategy to manage commodities inflation but the magnitude of recent inflationary pressures might keep inflation at a higher-for-longer level than last year which could challenge Darden's margin more than management forecasted.

Another structural challenge to Darden as well as many casual dining operators is that alcohol consumption has significantly declined. As described by a 2025 Gallup poll, the percentage of those who say they consume alcohol hit an 86-year low. Alcohol consumption has declined amid the medical world's reappraisal of alcohol's health effects. After decades of relative stability of U.S. adults who drink, Gallup has documented three consecutive years of decline in the drinking rate.

Beer and alcohol were historically a bigger component of the sales mix across the casual dining segment but consumption of beer and alcohol has substantially declined for this higher-margin sales component. Alcohol has typically carried a profit margin that is 1000-2000 bps higher compared to food. At Darden, since FY 2018, the alcohol composition of sales ranged from ~4%-36% of restaurant brand sales depending on the brand (Olive Garden at ~4% and Yard House at ~36%). Darden has experienced a decline of alcohol sales mix which represented 10% of Company sales in FY 2026, down from 10.6% in FY 2025 and 11.0% in FY 2024. The Company's alcohol mix in 2018-1019 was 12.2-12.3%. This overall decline is notable despite the recent acquisitions of Ruth's and Chuy's which generate a higher proportion of sales from alcohol than key DRI brands Olive Garden and LongHorn. Olive Garden experienced over a 250 bp reduction of alcohol composition to its sales mix from FY 2018 at 6.7% to 4.1% in FY 2026. LongHorn experienced a 150 bp reduction of alcohol composition to its sales mix from 9.6% to 8.1%. The change is material at Yard House which historically has generated among the highest proportion of its sales from alcohol mix given the brand positioned itself as a premium beer-centric "modern public house" with each location featuring at least 100 taps and some over 250. Yard House experienced a 700 bp reduction to its sales mix from FY 2018 at 36% to ~29% in FY 2026.

The Company has engaged in recent consolidation and lower-margin, off-premise sales that masks structural dine-in traffic decay. The restaurant industry has always been intensely competitive and Darden's management navigated the industry effectively as reinforced by ROIC that averaged over 20% during the Company's fiscal years 2016-2019 but more than 500 bps of degradation during the past five fiscal years is demonstrative of ongoing competitive intensity and the law of large numbers.

The deterioration to DRI's ROIC is a core component to my short thesis. Darden commanded a premium valuation historically which one might validate from an impressive ROIC that averaged over 20% for its fiscal years 2016-2019 with an EPS CAGR that exceeded 25%. However, during the past five years, the Company's ROIC averaged 15% and earnings are forecasted to grow by just 5.5% during 2027 at the mid-point or 8% adjusted for the 53rd week from this past fiscal year. Assuming the Company achieves the high-end of management's EPS guidance, the EPS CAGR since 2022 will be 8.8%. During the higher ROIC 2016-2019 period when FCF/share achieved over 15% CAGR, the average EBITDA multiple was 10.4x. During the recent lower ROIC 2022-2026 period when FCF/share grew by 9.6%, the average EBITDA multiple was 13.5x. For additional context, DRI's casual dining peer TXRH improved its ROIC from an average 15.7% during the 2016-2019 period to 17.3% during the 2022-2025 period. One might ascribe this positive rate of change at TXRH as a key component driving its premium valuation from an average 13x EBITDA during 2016-2019 to 16x during 2022-2025 but the rate of change to ROIC at DRI is negative.

As described by Darden's CFO in the Company's Q4 FY25 press release, "Our long-term framework calls for 10-15% total shareholder return over time. Over our 30-year history as a public company, Darden has achieved an annualized total shareholder return of 10% or greater over any 10 fiscal-year period." That is indeed an impressive framing of the potential longer-term investment opportunity. That statement from the CFO was made on June 20, 2025 which was notably when DRI achieved an all-time high at $228.27 (this was prior to the all-time high that printed recently on August 13th at $229.76) before a ~26% drawdown to a 52-week low of $169 on November 20, 2025. During that five-month period, the S&P 500 appreciated by ~10%. The CFO incidentally sold over 55% of his stock four days after that statement last year. The CFO recently sold half his stock at $210 at the end of July.

My short recommendation is not asserting anything over a ten-year period and few market participants, if any, invest that way. One might wonder if the insiders, who collectively own just 0.5%, are concerned about the near-term, let alone embrace the CFO's ten-year confidence framework, as insider activity is demonstrably negative as reinforced by a low score of 1 from InsiderScore's algorithm. Although insider selling is obviously not as relevant as insider buying and of course only one component to an investment mosaic, it's worth noting for context that less than 140 companies with a market cap of at least $1B are ascribed a score of just "1". During the past three years, seventeen insiders have sold over $100M of stock at ~$188.

The Company reported its fourth quarter and full year fiscal 2026 results on June 25th. The Company's Q4 was a two-cent beat although numerous adjustments lead me to question DRI's quality of earnings. On the day of earnings, the more than 4% peak-to-trough earnings-driven stock move might be ascribed to the bulls who applauded the $0.02 beat and the same-unit sales upside on strength at LongHorn but the bullish narrative was not sustained on the day of earnings. DRI closed at $213.45 on the day preceding its earnings but closed lower on June 25th from a $216 high the equity achieved on earnings day. The market was likely disappointed by the lower-than-consensus EPS guide for FY2027 and the same unit sales weakness at DRI's Olive Garden. Since management recently provided their FY 2027 outlook which was below consensus, the near-term expectation bar has already been lowered.

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Catalyst

Selected Catalysts

Casual dining segment is a tough neighborhood confronting ongoing structural challenges and competition is intense

Promotional strategies across casual dining peers are a risk to traffic and DRI's margin if discounting is pursued to preserve traffic

Persistent inflationary pressures that either challenge guest counts at higher menu prices or increasing risk of margin compression

Lower-end consumer remains pressured, thereby challenging Darden's largest profit contributor Olive Garden

Price sensitivity/value-seeking consumer behavior persists

Alcohol consumption mix fails to improve or further declines

Base effects in 2027 from tax refunds and World Cup

Beef inflation moderates such that LH traffic reverses

Messages

No messages